

An Investigation of Children's Ability to Identify Sponsors and Understand Sponsorship Intentions

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ABSTRACT

Sponsorship has become an important tool for companies that target children with their market offerings. Despite growing firm interest in assessing sponsorship effectiveness and public concern about the effects on children, research to date has not investigated how sponsorship functions for children. This article addresses both issues by examining children's perceptions of sponsors (i.e., ability to identify sponsors in different conditions) and their perceptions of sponsorship (i.e., ability to understand sponsorship intentions). Because prior research on these issues is scarce, the conceptual reasoning relies on findings from advertising literature pertaining to children and sponsorship literature. An empirical study features sponsorships in a theme park for children. The results reveal implications for managers and public policymakers, as well as avenues for further research. © 2012 Wiley Periodicals, Inc.

Children represent a crucial market for many companies. Not only do children spend their own money and exert their constantly increasing market power (e.g., McNeal, 1992, 1999), but they influence their parents' purchases (e.g., Ebster, Wagner, & Neumueller, 2009). Companies also hope children will become loyal future customers (e.g., McNeal, 1999; see Skoda's <http://www.autokids.de>, accessed September 5, 2011). Although measuring children's impact on sales is difficult, Lindström (2004) estimates that youth between the ages of 8 and 14 years spend or influence approximately \$1.2 trillion worth of sales worldwide every year. Thus, many marketing communication activities target children specifically.

In this communications mix, sponsorship has become an important element for many companies that want to appeal to children, including sponsorships of events children watch live or on television (e.g., the soccer World Cup), television programs for children, computer games, amusement parks, and even educational institutions (e.g., Friestad & Wright, 2005; Owen, Lewis, Auty, & Buijzen, 2009; Roedder-John, 1999). Research on advertising and children is abundant (e.g., Brand & Greenberg, 1994; Moore, 2004; Moses & Bald-

win, 2005; Robertson & Rossiter, 1974), yet little is known about how sponsorship works for them.

Two issues are of particular interest. First, from a company perspective, assessing the effectiveness of sponsorship is crucial. Sponsorship evaluation usually relies on sponsor awareness, the primary means of assessing this marketing expenditure (e.g., Wakefield, Becker-Olsen, & Cornwell, 2007; Walliser, 2003). Awareness is more directly associated with consumer behavior than, say, sponsorship exposure. Sponsor awareness is an important antecedent of attitude and behavior toward the sponsor (Grohs, Wagner, & Vsetecka, 2004). Thus, whereas early studies focused on general awareness of sponsors, more recent work has concentrated on identifying factors that drive awareness levels of specific sponsors (e.g., Johar, Pham, & Wakefield, 2006; Wakefield, Becker-Olsen, & Cornwell, 2007). This research stream became particularly important when nonsponsors began to embrace the concept of ambush marketing as a strategy to link a brand to a sport event, without actually paying for a sponsorship (e.g., Meenaghan, 1998).

Second, from a public policy perspective, there is a need to understand children's ability to detect the

persuasive content in sponsorships. This ability “is key in understanding their vulnerability and, thus, any needed protection or educational intervention” (McAlister & Cornwell, 2009, p. 175). The potential threats posed by sponsorship may be substantially greater than those associated with advertising, because sponsorships never provide convenient labels that identify the related messages as marketing or persuasive attempts (cf. separator cues that clearly identify television ads as different than creative content of shows). Thus far however, “almost nothing has been learned about children’s detection of persuasive intent in the ‘embedded marketing’ world with which future generations must cope” (Wright, Friestad, & Boush, 2005, p. 230).

The aim of this study therefore is twofold: Research question one takes a company perspective and examines children’s sponsor awareness to assess sponsorship effects, as well as identifies factors that increase correct sponsor recall and sponsor recognition among children. These findings can help potential sponsors understand how children identify sponsors and establish which conditions are suitable for sponsorships aimed at children. Research question two instead adopts a public policy perspective and addresses children’s ability to understand companies’ sponsorship intentions. These results provide implications of interest to public institutions, such as government bodies and consumer activist groups that aim to protect consumers, and especially children, from inappropriate influences exerted by marketing and sponsorships.

The remainder of this article is structured as follows. The next section builds on sponsorship research involving adults and advertising research pertaining to children to derive hypotheses related to the two research questions. After the following section presents the context and findings of an empirical study to test the hypotheses framework, the last section discusses the implications of the results, some limitations of the study, and avenues for further research.

RESEARCH QUESTIONS AND HYPOTHESES

Company Perspective: Children’s Sponsor Awareness

Cornwell, Weeks, and Roy (2005, p. 21) define sponsorship as “a cash and/or in-kind fee paid to a property (typically a sports, entertainment, nonprofit event or organization) in return for access to the exploitable commercial potential associated with that property.” The goal of sponsors in investing such fees is to maximize sponsor awareness, which is often used as a surrogate measure of sponsorship effectiveness (e.g., Walliser, 2003). Many studies employ tracking measures (Cornwell & Maignan, 1998) and conceptualize sponsor awareness as the correct, conscious recall or recogni-

tion of a sponsor of a specific activity (e.g., Lardinoit & Derbaix, 2001; Sandler & Shani, 1989).

Correct sponsor identification demands that the actual sponsor is identified properly, with no or only minimal incorrect classification of nonsponsors as sponsors (Johar & Pham, 1999; Meenaghan, 1998). However, research into the practice of ambush marketing clearly shows that nonsponsors often intentionally try to build an association with a prestigious event, to capitalize on its popularity in terms of recognition or image (Meenaghan, 1998). Furthermore, conscious sponsor identification occurs if the respondent is explicitly aware of the sponsor–event connection, such that when asked, the respondent can retrieve a sponsor association from explicit memory.

In the quest to increase their sponsor awareness, companies achieve widely varying recall and recognition rates among different consumers at different events. To clarify the psychological processes consumers use to recall sponsors (Johar, Pham, & Wakefield, 2006), researchers have identified event-, sponsor-, and consumer-specific drivers that influence sponsor awareness. A comprehensive literature review (for detailed references, see Walliser, 2003, 2004) reveals four factors that consistently influence sponsor awareness for adults; sponsor prominence, activity–sponsor fit, activity involvement, and sponsorship exposure (e.g., Johar, Pham, & Wakefield, 2006; Wakefield, Becker-Olsen, & Cornwell, 2007). For children, an effect of cognitive development on sponsor awareness (Roedder-John, 1999) is also anticipated. The next paragraphs therefore attempt to specify how these four factors relate to correct sponsor identification by children.

Sponsor Prominence. Sponsor prominence is the degree to which consumers are familiar with a sponsoring brand or company (Johar & Pham, 1999). If the memory record of an event–sponsor association is not readily accessible in consumers’ minds, they may apply reasoning or prior knowledge to retrieve the correct sponsor (Pham & Johar, 2001). For example, consumers might perceive prominent companies as more likely to spend large sums of money on sponsorship activities. Prominent brands also tend to be more accessible in memory, and consumers can link sponsorship more easily to established knowledge. In accordance with these arguments, Johar and Pham (1999) empirically show that sponsor identification is subject to a prominence bias, and Deimel’s (1993) and Walliser’s (1997) research support this claim with findings of positive effects of sponsor prominence on sponsor awareness. Thus,

H1a: Children’s perceptions of sponsor prominence are positively associated with correct sponsor identification.

Activity–Sponsor Fit. Gwinner (1997) defines activity–sponsor fit as the fit between a sponsored

activity and a sponsor, as perceived by the consumer. If consumers are unable to retrieve the exact event–sponsor association from memory, and the motivation to identify the sponsor is sufficiently high, they will invoke a heuristic of relatedness to recall specific sponsors (Johar & Pham, 1999; Johar, Pham, & Wakefield, 2006). Sponsor identification appears strongly biased toward brands that are related semantically to the event. Further empirical evidence reveals that sponsors with a high activity–sponsor fit gain most from their sponsorships in terms of their awareness goals (e.g., Quester & Farrelly, 1998; Wakefield, Becker-Olsen, & Cornwell, 2007). Therefore,

- H1b:** Children’s perceptions of activity–sponsor fit are positively associated with correct sponsor identification.

Activity Involvement. Activity involvement indicates the extent to which consumers identify with a particular leisure activity, through engagement and membership (Lardinoit & Derbaix, 2001). A highly involved person devotes greater resources to processing information about the sponsored activity (Parker, 1991). The motivation to gather and process information leads, in the long run, to better knowledge of the domain (Zaichkowsky, 1985) and greater awareness of the sponsor. Empirical studies by Otker and Hayes (1987), Lardinoit and Derbaix (2001), and Grohs, Wagner, and Vsetecka (2004) support a positive impact of activity involvement on sponsor awareness. Thus,

- H1c:** Children’s activity involvement is positively associated with correct sponsor identification.

Sponsorship Exposure. The amount of time a person is exposed to a sponsor message has effects as well (Sandler & Shani, 1989). Standard findings in cognitive learning research indicate that message learning grows with additional exposures, though at a diminishing rate. Furthermore, the effectiveness of repeated exposures increases if the recipient’s involvement in message content is low, as in the case of sponsorships. Several studies also provide empirical evidence for the proposition that sponsorship exposure has a positive impact on sponsor awareness (e.g., Grohs, Wagner, & Vsetecka, 2004; Sandler & Shani, 1989). They distinguish two kinds of exposure: the amount of time a consumer is exposed to a single-sponsored event (i.e., short-term exposure; Walliser, 1997) and continuous sponsorship of an event by a sponsor over time (i.e., long-term exposure; Quester, 1997). Adult consumers reveal positive effects of both kinds of exposure on sponsor awareness (e.g., Bennett, 1999; Moore, Pickett, & Grove, 1999; Quester, 1997; Walliser, 1997), which suggests two hypotheses, that is,

- H1d:** Children’s short-term sponsorship exposure is positively associated with correct sponsor identification.
- H1e:** Children’s long-term sponsorship exposure is positively associated with correct sponsor identification.

Children’s Age. Finally, young children have difficulty retrieving information from their memory (e.g., Oates, Blades, & Gunter, 2002). According to Roedder-John (1999), children’s cognitive development affects their ability to acquire information processing skills so they can organize and use what they have learned about their environment. Ward, Wackman, and Wartella (1977) find that younger children recall few and simple details from commercials, whereas older children remember more complex information, such as brand names, product attributes, and advertising storylines. Rubin (1974) also finds differences in children’s awareness of brands and commercials, depending on their grade level. Consequently,

- H1f:** Children’s age is positively associated with correct sponsor identification.

Public Policy Perspective: Children’s Sponsorship Understanding

Cognitive Development and Consumer Socialization. Children appear to learn about advertiser goals and tactics between their toddler years and the time they graduate from high school (Wright, Friestad, & Boush, 2005). Research in advertising demonstrates that children’s knowledge of advertisers’ intentions progresses from rudimentary ideas to a more complete understanding of motivations (Khatibi, Haque, & Ismail, 2004). As their cognitive capabilities and information processing skills develop, children acquire the capacity to recognize advertising, then gain the more abstract ability to comprehend the persuasive intent (Owen et al., 2009).

To comprehend persuasive advertising, children must first recognize the functional features of advertising, which define its true purpose and categorize it as such. The functional features of advertising are its underlying motivations, such as advertisers’ persuasive, informational, promotional, and/or manipulative intent (e.g., Martin, 1997; Moses & Baldwin, 2005; Robertson & Rossiter, 1974). To achieve a functional understanding of advertising, children must have a high level of cognitive development, including the substantial perspective-taking skill needed to consider the advertiser’s viewpoint (Selman, 1980).

Children’s cognitive development is a function of various components, including their age, experience, and the influence of peers (e.g., Ward, Wackman, &

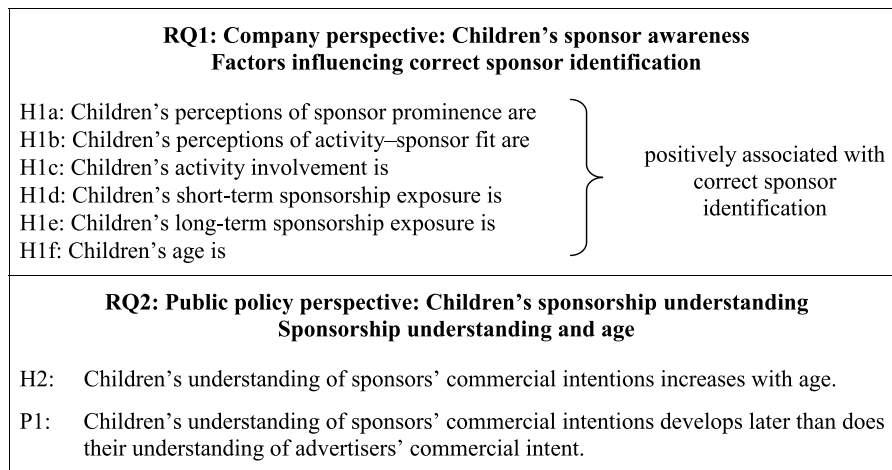


Figure 1. Research agenda.

Wartella, 1977). Empirical studies that aim to describe general patterns of development across age groups confirm that (Piaget's) age stages provide suitable proxy variables of cognitive development (e.g., Mallalieu, Palan, & Lacznia, 2005; McAlister & Cornwell, 2010; Moses & Baldwin, 2005; Owen et al., 2009; Robertson & Rossiter, 1974; Roedder-John, 1999). Therefore, age is considered sufficiently adequate to represent cognitive development.

Understanding Sponsors' Persuasive Intentions.

Children as young as five years of age usually can distinguish between commercials and programming, though they often view advertising as entertainment (Roedder-John, 1999; Unnikrishnan & Bajpai, 1996). At seven to eight years, they begin to grasp persuasive advertising intent (e.g., Rubin, 1974), because they come to realize that others may have different opinions or motives, even if they have the same information, and thus can consider another's viewpoint (Selman, 1980). By the age of 10 years, the ability to consider multiple viewpoints simultaneously emerges (Selman, 1980). This development finally allows for the comprehensive realization that an advertising source has a different agenda than the audience's and that persuasive messages are inherently biased (Owen et al., 2009; Macklin, 1985). In line with these theoretical foundations, Robertson and Rossiter (1974) find that attributions of the persuasive intent of televised advertising increased dramatically from 53% of first graders (six to seven years of age) to 78% of third graders (eight to nine years) to 99% of fifth graders (10–11 years).

Unlike advertising though, in a sponsorship setting, the sponsored event is the focus of attention, not the advertiser. Children likely use few cognitive resources to scrutinize the sponsorship message and process sponsor brands only peripherally (Moore & Rideout, 2007). Their high affective involvement in the leisure context of the sponsorship also might impair children's scrutiny

of the reasons a company has to sponsor that activity. Sponsorships also are less obtrusive than advertisements, which often include multiple, explicit cues of advertisers' intentions. This obtrusiveness might not affect understanding of the sponsor's persuasive intent, but children also could engage in more probing of commercials than sponsorship messages. Overall, research on consumer socialization suggests that children fully understand sponsors' commercial intentions at the same stage of development that they understand advertisers' persuasive motives, around the age of 10 years. Therefore, their failures to understand sponsorship intentions probably are not conceptual; instead, they more likely reflect deficits in children's information processing (e.g., Moses & Baldwin, 2005).

In a study of program sponsorship, Mallalieu, Palan, and Lacznia (2005) show that 11- to 12-year-old children could demonstrate partial understanding of the process of program sponsorship. Younger children instead indicated considerable confusion about who creates sponsorship messages, who pays for them, and who actually profits. In the only other relevant empirical study, Owen et al. (2009) conclude that children have significantly more sophisticated understanding of television advertising than Internet advertising, product placement, licensed products, program sponsorship, or video games. Therefore, hypothesis H2 and proposition P1 are proposed:

- H2:** Children's understanding of sponsors' commercial intentions increases with age.
- P1:** Children's understanding of sponsors' commercial intentions develops later than does their understanding of advertisers' commercial intent.

Figure 1 summarizes the research agenda.

EMPIRICAL STUDY

Data Collection

To test the proposed hypotheses, empirical data are collected for four sponsors of Minopolis, a theme park that appeals mainly to children between 4 and 12 years of age, located in a Central European capital city. It is set up like a small town on 6000 m², with shops, factories, and buildings. Sponsors of the theme park put their logos on the various facilities. Over 15 separate days, a researcher (trained in communication with children) approached children in the theme park, at different times and days of the week (at least three hours after the park had opened), and asked for help with a kind of “homework.” The interviewer approached approximately 500 children aged between 6 and 12 years; the age range reflected the research need that the respondents have basic reading skills, to read sponsor names. The parents of 128 children agreed they could take part in the study.

After obtaining parental consent, the interviewer guided the children to a separate lounge, so that they could no longer see Minopolis or the sponsor logos. The children were clearly informed that they could stop participating at any time they wished. In line with recommendations for market research with children (e.g., Pecheux & Derbaix, 1999; Wells, 1965), the questions were short and easy to answer, and the atmosphere during the interview was relaxed to reduce any sense of pressure. The responses from the 120 respondents who finished the personal interview were the input for the study (24% response rate). These children were assigned into seven age groups, each of which contained 16–18 respondents.

Company Perspective: Children’s Sponsor Awareness

Measures. The most common measure of *correct sponsor identification* uses recall and recognition (e.g., Tripodi, Hirons, Bednall, & Sutherland, 2003); they are adopted in this study as well: unaided recall, aided recall, and recognition (e.g., Grohs, Wagner, & Vsetecka, 2004; Lardinoit & Derbaix, 2001). The targets of analysis were four brands (out of 25 sponsors) from different industries (bakery, snack producer, bank, and grocery supermarket). The brands were chosen to reflect a diverse range of children and adult product categories. This was a purely academic research project with no industry or retail cooperation. To measure unaided sponsor recall, respondents were asked about the brands they could remember having seen during their stay in Minopolis. Next, the children considered the product categories of the four sponsors, which served as recall cues, and were asked if they could remember having seen any brands in these product categories.

To measure sponsor recognition, the logos of the four focal brands and four competitors with similar brand prominence were presented. Respondents then chose which of the eight brands they had seen in Minopolis. To reduce the chances of a random hit, correct sponsor recognition was confirmed for each sponsor only if the target brand was mentioned but the competitor was not.

For the independent variables, single-item scales from existing research were used to keep the questionnaire comprehensible and short. As a measure of *sponsor prominence*, children indicated their familiarity with the four sponsors on a 5-point rating scale (e.g., Johar & Pham, 1999). To assess *activity–sponsor fit*, children stated on a 5-point rating scale how well they felt the four brands fit with Minopolis (e.g., Cornwall, Humphreys, Maguire, Weeks, & Tellegen, 2006). A single-item scale for *activity involvement* measured how interested children were in Minopolis on a 5-point rating scale (e.g., Grohs, Wagner, & Vsetecka, 2004). A smiling face response format was used, with verbal explanations of both anchor points (e.g., Derbaix & Pecheux, 2003; Wells, 1965), because it works well with children in this age range. The measure of *short-term exposure* included the children’s parents, who stated how long their children had been at Minopolis on the day of the interview (less than one hour, one to two, two to three, three to four, or more than four hours). To measure *long-term exposure*, the children indicated how often they had been to Minopolis (including the current visit; one time, two to three, four to five, or more). Finally, children stated their *age* (in years).

Model. This study includes three levels of sponsor awareness: unaided recall, aided recall, and recognition. Rather than using a binary variable (i.e., yes/no), the first research question is explored by analyzing the probability that a child recalls or recognizes a Minopolis sponsor. To test the proposed hypotheses, logistic regressions are conducted with unaided recall, aided recall, and recognition as the dependent variables and the aforementioned drivers as the independent variables (cf. Figure 1). The probability that a child j recalls (or recognizes) sponsor k thus can be estimated, given a certain level of sponsor prominence ($SPROM_{jk}$), activity–sponsor fit ($ASFIT_{jk}$), activity involvement ($AINV_j$), short-term sponsorship exposure ($SSEX_j$), long-term sponsorship exposure ($LSEX_j$), and cognitive development (AGE_j). The sponsor index k for sponsor-specific variables is introduced because the data are pooled over all sponsors K but, at the same time, the influences of the independent variables (i.e., $\beta_{1i}, \dots, \beta_{6i}$) are assumed to be constant across sponsors. In addition, $(K - 1)$ sponsor dummy variables SD_k are included to account for potential sponsor-specific effects on sponsor awareness that are not captured in the model. In formal terms, this binary logistic regression uses a linear structure for the log-odds, which postulates independently distributed

error terms:

$$\log \left(\frac{P(\text{individual } j \text{ memorizes sponsor } k)}{P(\text{individual } j \text{ does not memorize sponsor } k)} \right)_i = \begin{cases} \beta_{0i} + \beta_{1i} \cdot SPROM_{jk} + \beta_{2i} \cdot ASFIT_{jk} + \beta_{3i} \cdot AINV_j \\ + \beta_{4i} \cdot SSEXp_j + \beta_{5i} \cdot LSEXp_j + \beta_{6i} \cdot AGE_j \\ + \sum_{k'=1}^{K-1} \gamma_{ki} \cdot SD_{k'} + error_{jki} \end{cases}$$

$\forall j, k$, and i = unaided recall, aided recall, recognition

β_i, γ_{ki} : response parameter

Results. Absolute sponsor awareness levels are very high compared with those typically encountered for adults (e.g., Johar, Pham, & Wakefield, 2006). Children recall on average 40% (unaided) and 65% (aided) and recognize 84% of the four sponsors. Table 1 presents the results for the logistic regressions. These results have very high explanatory power for both recall models and average explanatory power for the recognition model (see Table 1). The parameter estimates support the significant positive effects of sponsor prominence, long-term exposure, and age on sponsor recall and recognition. Activity–sponsor fit has an unexpected, significantly negative effect on unaided sponsor recall. The effects for activity–sponsor fit (on aided recall and recognition), activity involvement, and short-term exposure are not significant. Sponsor dummies indicate that sponsor-specific effects influence unaided and aided recall and recognition.

Discussion. From a company perspective, these results support prior findings that children achieve greater cognitive capacity and therefore are more likely to identify sponsors correctly as they grow older. Similar to adults, sponsor awareness is better for more prominent sponsors, though this effect appears particularly strong for children. Continuous exposure (over weeks or even years) to a sponsored activity also increases correct sponsor identification by children.

Many studies argue that a high activity–sponsor fit should increase correct sponsor identification, because consumers infer sponsors using semantic relatedness heuristics if they are not sure about the actual sponsors (e.g., Johar & Pham, 1999). Children do not appear to use such heuristics. Without this response bias toward expectancy-congruent information, expectancy-incongruent information is more likely to be recalled (Stangor & McMillan, 1992); that is, children remember sponsor brands in product categories that they consider unexpected or surprising (e.g., Jagre, Watson, & Watson, 2001). As expected this effect is not significant for aided recall or recognition, when children have been provided with the product category (i.e., activity–sponsor fit is given).

The insignificant effect of activity involvement indicates that increased arousal inhibits the recall of peripheral stimuli, such as sponsors (Newell, Henderson, & Wu, 2001), as supported by the high absolute involvement levels (mean involvement = 4.42 on a 5-point scale). As the central stimulus responsible for the emotional experience intensifies, it absorbs more attention.

Table 1. Drivers of Sponsor Recall and Recognition.

	Unaided Recall			Aided Recall			Recognition		
	Beta	Sig.	Odds Ratio	Beta	Sig.	Odds Ratio	Beta	Sig.	Odds Ratio
H1a Sponsor prominence	1.22	<0.01	3.38	1.04	<0.01	2.82	0.55	<0.01	1.74
H1b Activity–sponsor fit	−0.47	<0.01	0.63	0.05	0.75	1.05	−0.22	0.18	0.80
H1c Activity involvement	0.20	0.27	1.22	0.01	0.95	1.01	−0.19	0.35	0.83
H1d Short-term exposure	−0.01	0.98	1.00	0.05	0.70	1.05	−0.01	0.92	0.99
H1e Long-term exposure	0.71	<0.01	2.03	1.07	<0.01	2.91	0.70	<0.01	2.02
H1f Age	0.46	<0.01	1.58	0.53	<0.01	1.70	0.23	<0.01	1.25
	Gamma	Sig.	Odds Ratio	Gamma	Sig.	Odds Ratio	Gamma	Sig.	Odds Ratio
SD (snack producer) ^a	0.10	0.80	1.10	0.84	0.03	2.32	0.87	0.04	2.39
SD (bank) ^a	−0.51	0.20	0.60	1.12	<0.01	3.05	0.74	0.06	2.09
SD (grocery supermarket) ^a	1.43	<0.01	4.18	1.47	<0.01	4.33	−0.13	0.76	0.88
Goodness of fit									
LR-test against constant-only model	277.40 (<0.01)			286.06 (<0.01)			91.92 (<0.01)		
Nagelkerke's pseudo- R^2	0.59			0.62			0.30		
Hit rate (%)	84			84			84		
Benchmark (maximum chance criterion, %)	59			65			84		

Note: Gray-shaded cells represent results in line with the postulated hypotheses and statistically significant. The bolded number represents a result that is *not* in line with the postulated hypothesis but is statistically significant.

^aCoefficients for sponsor-specific dummy variables identify differences in comparison with *bakery*, which was arbitrarily assigned to be the baseline sponsor.

LR = Likelihood Ratio

Table 2. Children's Full Understanding of Sponsorship Intentions.

Binary logistic regression: Probability of full understanding of sponsorship intentions ^a							
Independent Variable		Beta		Sig.		Odds Ratio	
Age		1.09		<0.01		2.98	
Activity involvement		− 0.31		0.58		0.74	
Short-term exposure		0.54		0.20		1.71	
Long-term exposure		0.87		0.08		2.39	
Goodness of fit							
LR-test against constant-only model		46.02		<0.01			
Nagelkerke's pseudo- <i>R</i> ²		0.66					
Hit rate (%)		87					
Benchmark (maximum chance criterion, %)		60					
Percentage of respondents fully understanding sponsorship intentions by age							
Age	6	7	8	9	10	11	12
Percentage ^a	0	10	10	23	71	75	92
Percentage of total	0	6	6	17	31	35	65

Note: Gray-shaded cells represent percentages greater than 50%.

^aChildren who responded "don't know" are not considered.

Thus, heightened attention to the activity may come at the expense of the peripheral sponsorship information (consistent with intensity theory; e.g., Pavelchak, Antil, & Munch, 1988; Pham, 1992). The insignificant effect of short-term sponsorship exposure might indicate exhaustion. If children stay longer at Minopolis, they experience stimuli overload, which could offset the positive effects of longer exposure to sponsor brands. More research is needed to understand this phenomenon.

Public Policy Perspective: Children's Sponsorship Understanding

Measures. Because there is very limited research on sponsorships and children, previously validated measures could not be used but data collection queries had to be developed from scratch. Many advertising studies suggest using verbal methods to assess children's functional understanding of advertisers' persuasive intent (e.g., Moses & Baldwin, 2005), and Wiman (1979) provides a scale to measure children's understanding of commercial intentions in television advertising. This procedure served as reference frame. Keeping the target group in mind, two items were adapted that reflected the main defining features of sponsorship:

1. Companies show their logos on Minopolis facilities to make visitors purchase their products.
2. Companies pay to show their logos on Minopolis facilities.

Respondents classified these statements as true, false, or do not know. To reduce the chances of a random hit, in a first step the response was considered as correct understanding of sponsors' commercial intentions only if the respondent answered both items correctly. Children's age and (as control variables) their activity involvement, short-term sponsorship exposure, and

long-term sponsorship exposure were measured as previously.

Results. Two groups were created to analyze children's understanding of sponsors' commercial intentions; one group consisted of 27 children who classified both statements correctly as true, and another contained 41 children who called at least one statement false. For discriminatory reasons, 52 respondents were excluded from this analysis who chose the "don't know" response category. These preliminary results showed that children found it difficult to understand sponsors' commercial intentions correctly, in that only about 40% joined the first group, and the children in this group tended to be considerably older (mean age 10.7) than children in the second group (mean age 8.0). Table 2 (upper part) presents the results from a binary logistic regression with group membership as the dependent variable and age, activity involvement, and short- and long-term sponsorship exposure as the independent variables. Older children ($p < 0.01$) and children who visited Minopolis more frequently ($p < 0.10$) were more likely to understand sponsorship intentions, but the impact of the other independent variables was not significant. Therefore, hypothesis H2 is supported.

These results clearly indicate an influence of age on sponsorship understanding. In probing this issue further, Table 2 (lower part) also considers the percentages of respondents who understand sponsors' commercial intentions correctly in both cases across the different age groups. Few younger children could figure out the sponsors' intentions, but the percentages increase distinctly for children 10 years of age or older. The chi-square tests document a statistically significant effect of age ($\chi^2 = 34.78$, $p < 0.01$ excluding the "don't know" response category; $\chi^2 = 30.61$, $p < 0.01$ including it). Conversely, children older than nine years exhibited a rudimentary understanding of sponsors' commercial intentions. At the age of 12 years, their functional

Table 3. Children's Partial Understanding of Sponsorship Intentions.**Multinomial logistic regression: Probability of partial understanding of sponsorship intentions^a**

Dependent Variable	Independent Variable	Beta	Sig.	Odds Ratio
Considerable sponsorship understanding	Age	0.49	<0.01	1.63
	Activity involvement	−0.15	0.64	0.86
	Short-term exposure	0.30	0.19	1.35
	Long-term exposure	0.08	0.76	1.08
Undecided	Age	0.20	0.16	1.22
	Activity involvement	0.05	0.89	1.05
	Short-term exposure	0.05	0.84	1.05
	Long-term exposure	−0.27	0.33	0.77

Goodness of fit

LR-test against constant-only model	22.97	<0.01
Nagelkerke's pseudo- R^2	0.20	
Hit rate (%)	57	
Benchmark (maximum chance criterion, %)	41	

Percentage of respondents partially understanding sponsorship intentions by age

Age	6	7	8	9	10	11	12
Yes	23	12	33	28	69	53	71
Undecided	18	35	33	39	19	24	12
No	59	53	33	33	12	24	17

Note: Gray-shaded cells represent percentages greater than 50%.

^aReference category: Lack of sponsorship understanding.

understanding of sponsorship appears largely developed, in that 65% of all respondents correctly identified the two sponsorship items. The literature found that by the age of eight children begin to discover advertising's persuasive intent, while at the age of 10 they usually fully comprehend advertisers' commercial intentions. Therefore, proposition P1 is supported, a result that emerges from exploratory reasoning rather than statistical testing. In addition, rather small frequencies per age group have to be acknowledged. Therefore, more research certainly is needed to substantiate this result.

The requirement that children classify both sponsorship items correctly and the exclusion of "don't know" respondents might be overly restrictive. Therefore, three groups to test for partial sponsorship understanding were formed:

- A considerable sponsorship understanding group consisted of 49 children who classified both statements correctly or one statement correctly and the other as "don't know."
- The undecided group contained the 31 respondents who answered "don't know" in both cases or classified one statement correctly and the other incorrectly.
- The lack of sponsorship understanding group was 40 children who classified either both statements incorrectly or one statement incorrectly and the other as "don't know."

Analyses of these three groups confirmed the previous findings. Respondents found it difficult to understand sponsors' commercial intentions correctly; only about 40% belonged to the first group, and they were considerably older (mean age 9.9) than the

children in the other groups (mean ages 8.7 and 8.1, respectively). A multinomial logistic regression used group membership as the dependent variable and age, activity involvement, and short- and long-term sponsorship exposure as independent variables (see Table 3, upper part). Older children were more likely to be in the first, considerable sponsorship understanding group, than the other two groups. There are no significant differences between the undecided and lack of understanding groups with regard to age though. The impact of the other independent variables also was not significant. Consistent with the previous analysis, there is a distinctive, significant increase in the percentage of respondents who (at least partially) understand sponsors' commercial intentions when they reach at least 10 years of age ($\chi^2 = 26.48$, $p < 0.01$; Table 3, lower part). This percentage reached 71% for the 12-year cohort. Therefore, consideration of partial sponsorship understanding again supports H2 and P1.

Discussion. From a public policy point of view, the results indicate that children's ability to understand sponsors' commercial intentions improves markedly as they grow older. Younger children have very little knowledge about what a sponsorship is and how it works. Between 9 and 10 years, children's abilities to grasp sponsors' intentions increase significantly, though it is not until the age of 12 years that the majority of children fully comprehend sponsorship and its attempt to influence consumer attitudes and behaviors. A crucial driver of sponsorship understanding appears to be long-term sponsorship exposure: When children get used to the sponsorship, they are more likely to realize sponsors' intentions.

Overall, children understand sponsors' persuasive intentions at a later age than that at which they come to understand advertisers' persuasive intentions. In this study, among respondents six to eight years of age, fewer than 10% know that brands pay to be shown in connection with events and do so to increase sales of their products. This number increases to 35% of 10- to 11-year-old children and reaches 65% of the 12-year olds, which marks a delay of approximately two years compared with findings from prior advertising research about general persuasive intentions (e.g., Moses & Baldwin, 2005; Robertson & Rossiter, 1974). Thus, the cognitive processing of sponsor information appears more demanding than processing of advertiser information, for two reasons. First, functional understanding of sponsorship requires the more difficult identification of the brand as a sponsor (rather than the brand as an advertiser). Second, functional understanding happens later for sponsorship because high involvement with the sponsored activity leads to less scrutiny of the sponsor message and peripheral processing of brand information.

CONCLUSION

Implications

Companies can use the findings from this study to select and design suitable sponsorship activities aimed at children. Sponsorship appears to be a highly effective communication tool for targeting children, as the high recall and recognition rates for sponsors in the study show. Prominent sponsors have an advantage, and companies should engage in long-term sponsorship contracts to maximize their returns with regard to sponsor awareness. Unlike adults, children do not use semantic relatedness heuristics to identify the correct sponsor, which suggests that companies are not limited to the sponsorship of activities related to their product category. The potential interactions between age and activity–sponsor fit remain to be analyzed to determine the age and conditions in which children or adolescents start to use semantic relatedness heuristics.

Parents, consumer organizations, and policymakers instead are concerned about whether children possess the cognitive skills needed to evaluate incoming commercial messages about brands. The vast majority of research in this field has focused on television advertising, mainly because of the importance of television for children (e.g., Moses & Baldwin, 2005). However, companies keep expanding their range of communication activities, which now include more covert forms of marketing communication aimed at children, such as sponsorships of televised programs, computer games, or leisure activities.

Before the age of nearly 10 years, many children find it difficult to understand sponsorship according to its functional characteristics. High involvement in the

sponsored activity aggravates the problem, because children leave fewer resources available to scrutinize and evaluate sponsor information. A straightforward solution to protect children therefore would be to caution them that whenever a company or brand appears in a leisure context, it is probably for a commercial or persuasive reason. Another learning mechanism involves exposure to sponsorship; long-term sponsorship exposure positively affects children's sponsorship understanding. Therefore, such education strategies could help children identify more covert marketing communication instruments used by companies and develop defense mechanisms against their persuasive intent. However, the benefits of sponsorship for children should not be ignored; they contribute to and support events that are important for children.

The good news is that the majority of children possess the skills to understand sponsors' commercial intentions by the age of around 12 years. Although sponsorship is perceptually much more difficult to identify than advertising, children have a comprehensive functional grasp of the sponsorship concept not much later than that for more overt communication instruments, such as advertising. The delay appears to be caused mainly by information processing difficulties, not by problems with the conceptual understanding of sponsorship. Policymakers and consumer organizations therefore can build on this knowledge to help children use their understanding of sponsors' persuasive intentions and protect children from covert marketing communication activities.

Limitations and Further Research

The study presents initial insights into children's sponsor awareness and sponsorship understanding. Empirical data were collected at a theme park for children, which represents a specific sponsorship scenario. Additional research should examine observed levels of sponsor awareness and understanding in other contexts. For example, it would be interesting to discover if these findings can be replicated in sports event sponsorships on television, program sponsorship, or sponsored advergames. Investigations of other embedded marketing communications (e.g., event marketing, product placement) using the methods described also offers a worthwhile endeavor.

Considering the exploratory character of this study, replications and extensions should complement these findings using different research methods. This study designed verbal research tasks appropriate for children, using appropriate wording (e.g., not mentioning the word "sponsorship," which is often poorly understood by children; Andronikidis & Lambrianidou, 2010). A meta-analysis by Martin (1997) shows that different methodological approaches (e.g., verbal vs. nonverbal tasks) and demographic sample characteristics (e.g., presence of siblings) might influence children's understanding of advertising intent. Therefore, other verbal and nonverbal methods, such as focus groups

with children or the use of pictures (e.g., Andronikidis & Lambrianidou, 2010; Macklin, 1985), might deepen the current understanding of how children identify sponsors and infer sponsors' motivations based on their functional knowledge. The impacts of cultural contexts and external socialization influences, such as education in school or from parents, siblings, peers, culture, and mass media, also could be interesting avenues for research (Martin, 1997; Wright, Friestad, & Boush, 2005).

With regard to sponsor awareness, recall and recognition rates are very high, perhaps because the children were highly involved and interacted with the brands in a joyful environment. Further research should investigate children's recall and recognition rates in other typical sponsorship contexts (e.g., a sport event watched on television) and compare the results with sponsor awareness for adults. Furthermore, studies need to test whether the effects of the drivers of sponsor awareness for children can be replicated in other sponsorship contexts. Such models might include different measures of sponsorship exposure and activity involvement (e.g., enduring vs. situational), as well as other drivers, such as product and brand involvement. Finally, researchers might want to link sponsor awareness with attitudes toward the brand and thus develop a comprehensive framework of the effectiveness of sponsorships for children.

With regard to children's sponsorship understanding, this research provides insights into how and when children develop the consumer skills needed to identify and critically evaluate sponsorships. Public policymakers and consumer action groups can use these findings to help children recognize sponsorships, but the debate still continues about whether children actually use their knowledge of companies' persuasive intentions (Livingstone & Helsper, 2006). For example, children's understanding of advertising is not a sufficient condition for protection from its effects (Moses & Baldwin, 2005). Ongoing research needs to explore how to design and administer educational interventions that stimulate consumer skepticism, counterarguments and defense mechanisms among young consumers.

The advent of a wide range of subtle, interactive marketing communication activities targeted at children (e.g., advergames, product placement, Internet advertising, event marketing, program/event sponsorship) demonstrates the need to understand how children cope with communication media (Friestad & Wright, 2005). Most adults have learned to protect themselves from covert persuasive messages, but children are often unable to detect persuasive intent. The findings of this study therefore hold interest for researchers in the field of marketing communication and children, public policymakers, and companies, because they show how children cope with sponsorship and provide a starting point for examining the effects of various covert marketing communication tools on children's perceptions, understanding, and awareness.

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